Type MS · Why keep a trial balance? Benefits and limits

Answer 1 of 12 · Question 16 part c · 5 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

16(a)	**Award marks as indicated.** Principle **(1).**	**(1)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 1 of 12 · Question 16 part c · 5 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
16(b)	**Award marks for correct detail and amount as indicated.**	**(9)**

Date 2021	Error	Details	Debit $	Credit $
31 March	**1**	Motor insurance	400 **(1)**	
		Motor vehicles		400 **(1)**
	2	Suspense	90 **(1)**	
		Trade receivables (ledger control account)		90 **(1)**
	3	General expenses	120 **(1)**	
		Bank		120 **(1)**
	4	Returns inwards	150 **(1)**	
		Returns outwards	150 **(1)**	
		Suspense		300 **(1)**

Question Number	Answer	Mark
16(c)	**Award up to 2 marks for an advantage, up to 2 marks for a disadvantage and 1 mark for a conclusion.** **Sample answer** Ensures the arithmetical accuracy of the entries in the books **(1)** as both sides must be equal **(1).** However, it does not identify all types of error **(1),** for example an error of principle. **(1)** Jacques should continue to produce a trial balance as it is an important part of the verification process. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 2 of 12 · Question 15 part a · 2 marks

2020 JAN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

15(a)	**Award marks as indicated.** The main purpose of a trial balance is to check the **arithmetical (1)** **accuracy (1)** of the double entry.	**(2)**

Question number	Answer	Mark
15(b)	**Award marks as indicated.**	**(3)**

Error	Type of error
A payment for motor expenses had been posted to the motor vehicle account.	Principle **(1)**
A payment for general expenses had not been recorded.	Omission **(1)**
A payment for general expenses had been posted to the motor expenses account.	Commission **(1)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 2 of 12 · Question 15 part a · 2 marks

2020 JAN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question number	Answer	Mark
15(c)	**Award 1 mark for each pair of correct entries.** **Award 1of mark for suspense account.** **Award 1of mark for matching totals.**	(10)

Trial Balance at 31 December 2019

Account	Trial balance	
	Debit $	Credit $
Bank overdraft		770
Carriage inwards	880	
Discount allowed	340	
Drawings	4 500	
Equity		9 090
General expenses	15 110	
Inventory	12 260	
Irrecoverable debts	700	
Motor expenses	2 400	
Motor vehicle – cost	9 800	
Motor vehicle - accumulated depreciation		2 440
Purchases	48 000	
Returns outwards		940
Revenue		86 910
Trade payables		3 620
Trade receivables	10 050	
Suspense		270
Total	104 040	104 040

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 3 of 12 · Question 14 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

14(a)	**Award marks as indicated.** Checks the arithmetical accuracy of the double entry **(1)** Facilitates preparation of the financial statements/Prevents errors appearing in the financial statements **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
14(b)(i)	**Award marks as indicated.** An error of commission occurs when an entry for the correct amount is posted to an incorrect account of the same class **(1)** whereas an error of principle occurs when an entry for the correct amount is posted to an incorrect account of the wrong class **(1)**	**(2)**

Question number	Answer	Mark
14(b)(ii)	**Award marks as indicated.** An error of original entry occurs when an entry for an correct amount is entered in a book of prime entry **(1)** whereas an error of omission occurs when a transaction is not posted at all/omitted **(1)**	**(2)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 3 of 12 · Question 14 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(c)</td><td>Award marks as indicated.
<table>
<tr><th rowspan="2">Account</th><th colspan="2">Trial balance</th></tr>
<tr><th>Debit
$</th><th>Credit
$</th></tr>
<tr><td>Carriage inwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Carriage outwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Returns inwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Returns outwards</td><td></td><td>✓ (1)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(d)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Principle of professional ethics</th></tr>
<tr><td>Accountants must operate in a straightforward and honest manner.</td><td>Integrity/Honesty (1)</td></tr>
<tr><td>Accountants must be free from bias or conflict of interest.</td><td>Objectivity (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

Type MS · Why keep a trial balance? Benefits and limits

Answer 3 of 12 · Question 14 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(e)</td><td>Award marks as indicated.
<table>
<tr><th>Scenario</th><th>Accounting concept</th></tr>
<tr><td>A trader uses the same method of depreciation each year.</td><td>Consistency (1)</td></tr>
<tr><td>A trader makes an adjustment in the financial accounts for amounts paid in advance.</td><td>Accruals/Matching (1)</td></tr>
<tr><td>A trader records the purchase of an item of stationery as a business expense.</td><td>Materiality (1)</td></tr>
</table></td><td>(3)</td></tr>
</table>

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 4 of 12 · Question 15 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

15(a)	**Award 1 mark for each correct purpose up to max 2 marks.** To check the arithmetical accuracy of the bookkeeping **(1)** To assist in preparing financial statements **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
15(b)	**Award mark as indicated.** Suspense.**(1)**	**(1)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 4 of 12 · Question 15 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
15(c)	**Award marks as indicated**	**(12)**

The Journal

Date	Acccount	Debit $	Credit $
31 March	Stationery	270 **(1)**	
	Cash		270 **(1)**
	Being the correction of an error of **original entry. (1)**		
	Drawings	550 **(1)**	
	Purchases		550 **(1)**
	Being the correction of an error of **omission. (1)**		
	Motor vehicle	10 000 **(1)**	
	Motor expenses		10 000 **(1)**
	Being the correction of an error of **principle. (1)**		
	Song	85 **(1)**	
	Son		85 **(1)**
	Being the correction of an error of **commission. (1)**		

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 5 of 12 · Question 15 part d.i · 2 marks

2023 NOV · Paper 01 · extract 1 of 3 · find part d.i in this mark scheme extract

15(a)

Award 1 mark for correct figures with account names.

	Account	Debit $	Credit $
August 31	Drawings	650 (1)	
	Cash		650 (1)
	Motor expenses	234 (1)	
	Motor vehicles		234 (1)
	General expenses	9 (1)	
	Bank		9 (1)

(6)

Type MS · Why keep a trial balance? Benefits and limits

Answer 5 of 12 · Question 15 part d.i · 2 marks

2023 NOV · Paper 01 · extract 2 of 3 · find part d.i in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>15(b)</td><td>Award marks as indicated.
<table>
<tr><th>Error</th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>1</td><td></td><td></td><td>(✓)(1)</td></tr>
<tr><td>2</td><td></td><td>(✓)(1)</td><td></td></tr>
<tr><td>3</td><td></td><td>(✓)(1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Why keep a trial balance? Benefits and limits

Answer 5 of 12 · Question 15 part d.i · 2 marks

2023 NOV · Paper 01 · extract 3 of 3 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
15(c)	**Award mark as indicated.** Suspense **(1)**	**(1)**

Question Number	Answer	Mark
15(d)(i)	**Award 1 mark for identification and 1 mark for linked development.** A trial balance provides a summary of the account balances **(1)** which is useful in the preparation of the financial statements **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
15(d)(ii)	**Award up to 2 marks for a limitation and 1 mark for identifying an error.** Some errors will not be identified **(1)** for example an error of commission **(1)** as these errors do not affect the balancing of the trial balance **(1)** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 6 of 12 · Question 15 part b · 4 marks

2024 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

Number		
15 (a)	**Award marks as indicated**	**(11)**

Trial balance at 30 April 2024			
Account	**Debit $**	**Credit $**	
Advertising	3 260		
Bank loan		18 400	(1)
Bank overdraft		12 880	(1)
Carriage inwards	530		(1)
Drawings	23 400		(1)
Equity		44 300	(1)
General expenses	12 290		
Inventory at 1 May 2023	39 800		(1)
Machinery - cost	55 270		
Machinery - provision for depreciation		26 130	(1)
Mortgage		63 000	(1)
Premises	84 000		
Purchases	133 910		(1)
Returns inwards	820		
Revenue		223 730	(1)
Trade payables ledger control		34 640	
Trade receivables ledger control	32 830		
Wages	36 970		
Totals	423 080	423 080	(1fb)

Type MS · Why keep a trial balance? Benefits and limits

Answer 6 of 12 · Question 15 part b · 4 marks

2024 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
15(b)	**Award one mark for identification of reason and one mark for development.** **Sample answer** The trial balance helps uncover many types of error in the ledger accounts **(1)** making it easier to find and correct errors **(1)** The trial balance provides a summary of ledger balance on one document **(1)** making it easier to prepare financial statements **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 7 of 12 · Question 17 part c · 5 marks

2024 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
17 (a)	**Award marks as indicated** **Journal**	(4)

Account	Debit $	Credit $
Premises	65 000	
Machinery	25 000	
Inventory	8 162	
Trade receivables	8 230	
Petty cash	250 **(1 all)**	
Trade payables		4 900
Other payables		542
Bank overdraft		1 200 **(1 all)**
Equity		100 000 **(1)**
Being assets liabilities and equity at this date **(1)**		

Question Number	Answer	Mark
17 (b)	**Award marks as indicated for correct account name and amount.** **Award one mark for each correct narrative** **Journal**	(6)

Account	Debit $	Credit $
Machinery	5 000 **(1)**	
AC Engineering		5 000 **(1)**
Being the purchase of machinery on credit **(1)**		
Irrecoverable debts	650 **(1)**	
Trade receivables		650 **(1)**
Being irrecoverable debts written off on this date **(1)**		

Type MS · Why keep a trial balance? Benefits and limits

Answer 7 of 12 · Question 17 part c · 5 marks

2024 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
17(c)	**Award one mark for identification and one mark for development of two benefits up to a maximum of four marks and one mark for a conclusion.** **Sample answer** If Sunal prepares a trial balance he will be able to prepare his financial statements more easily **(1)** as the balances will be readily available**. (1)** He will also be able to spot some errors **(1)** in his books of account as the total of the debit columns should match the total of the credit columns**. (1)** Overall the preparation of a trial balance will bring many benefits to Sunal enabling him to manage his business more effectively. **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 8 of 12 · Question 15 part b · 5 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

15 (a) **Award marks as indicated**

Trial balance at 30 April 2020

Account	Debit $	Credit $	
Bank overdraft		3 850	**(1)**
Carriage inwards	260		**(1)**
Carriage outwards	830		
Discount allowed	1 010		**(1)**
Drawings	8 400		
Equity		27 460	
General expenses	18 470		
Inventory at 1 May 2019	6 960		**(1)**
Irrecoverable debts	380		**(1)**
Property at cost	36 000		
Motor vehicles - cost - provision for depreciation	18 300	10 980	
Purchases	44 310		
Rent received		1 650	**(1)**
Returns outwards		570	**(1)**
Revenue		96 740	
Trade payables ledger control account		9 150	**(1)**
Trade receivables ledger control account	15 480		**(1)**
Totals	150 400	150 400	**(1of)**

(10)

Type MS · Why keep a trial balance? Benefits and limits

Answer 8 of 12 · Question 15 part b · 5 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
15 (b)	**Award up to 4 marks for comments related to the usefulness of preparing a trial balance and 1 mark for conclusion.** **For example** It checks the arithmetical accuracy of the bookkeeping entries **(1),** however, it will not identify all errors **(1).** Facilitates preparation of the financial statements **(1)** as the balances are readily available **(1).** Overall, preparation of the trial balance is a useful process due to the importance of producing accurate information **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 9 of 12 · Question 14 part a · 2 marks

2021 NOV · Paper 01 · find part a in this mark scheme extract

14(a)	**Award marks as indicated.** **Advantage** Checks the arithmetical accuracy of the bookkeeping **(1)** **Disadvantage** Does not identify all errors **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
14(b)	**Award marks as indicated.**	**(10)**

Trial Balance

	Debit	Credit
Bank overdraft		✓ **(1)**
Carriage inwards	✓ **(1)**	
Discount received		✓ **(1)**
Drawings	✓ **(1)**	
Equity		✓ **(1)**
Machinery – provision for depreciation		✓ **(1)**
Provision for irrecoverable debts		✓ **(1)**
Rent received		✓ **(1)**
Returns inwards	✓ **(1)**	
Trade receivables	✓ **(1)**	

Question number	Answer	Mark
14 (c)	**Award marks as indicated.**	**(3)**

Error	Type of error
A payment for general expenses had been posted to the drawings account.	Principle **(1)**
A payment for stationery had been posted to the rent paid account.	Commission **(1)**
An invoice for $320 had been recorded in the purchases day book as $230.	Original entry **(1)**

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 10 of 12 · Question 15 part b · 5 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

15 (a) **Award marks for correct account and amount in combination.**

Journal

Error	Account	Debit $	Credit $	
1	Drawings	183		**(1)**
	Purchases		183	**(1)**
2	Returns inwards	290		**(1)**
	Returns outwards	290		**(1)**
	Suspense		580	**(1)**
3	Martina	108		**(1)**
	Michael		108	**(1)**
4	Bank	27		**(1)**
	Suspense	94		**(1)**
	Commission received		121	**(1)**

(10)

Type MS · Why keep a trial balance? Benefits and limits

Answer 10 of 12 · Question 15 part b · 5 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
15(b)	**Award up to two marks for identification and up to two marks for linked development of each valid point up to a maximum of four marks and one mark for a conclusion.** **Sample answer** The trial balance provides a summary listing of all account balances **(1)** which facilitates speedy and accurate preparation of the financial statements **(1)**. However, not all errors (for example an error of commission or an error of principle) will be identified, **(1)**, as these do not affect the balancing of the trial balance **(1)**. Overall, preparation of the trial balance is an essential step towards preparing a true and fair view of the state of the business's affairs **(1)**. **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 11 of 12 · Question 15 part b · 2 marks

2023 JAN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

15(a)

Award 1 mark for each pair of correct entries.
Award 1 mark for correct totals.

Trial Balance at 30 September 2022

Account	Debit $	Credit $
Bank overdraft		4 250
Carriage inwards	480	
Discount allowed	370	
Drawings	8 300	
Equity		17 800
General expenses	14 350	
Inventory at 1 October 2021	7 200	
Irrecoverable debts	390	
Loan to employee	100	
Motor vehicle – cost	22 300	
Motor vehicle –provision for depreciation		13 380
Premises	44 000	
Purchases	64 380	
Rent received		480
Returns inwards	550	
Revenue		124 800
Trade payables		8 420
Trade receivables	6 710	
Total	169 130	169 130

(10)

Type MS · Why keep a trial balance? Benefits and limits

Answer 11 of 12 · Question 15 part b · 2 marks

2023 JAN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question number	Answer	Mark
15(b)	**Award up to 2 marks for explanation.** If both totals of a trial balance are the same this indicates that there are no errors in the books of account **(1),** however certain types of errors may still be present **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
15(c)(i)	**Award marks as indicated.** An error of commission is where the transaction is entered in an incorrect account of the **same class (1)** whereas an error of principle occurs when the transaction is entered in the **wrong class** of account **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
15(c)(ii)	**Award mark as indicated. Max 1 mark.** • Omission **(1)** • Complete reversal **(1)** • Compensating **(1)** • Original entry **(1)** • Transposition **(1)**	**(1)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why keep a trial balance? Benefits and limits

Answer 12 of 12 · Question 15 part d.ii · 3 marks

2023 NOV · Paper 01 · extract 1 of 3 · find part d.ii in this mark scheme extract

15(a)	**Award 1 mark for correct figures with account names.** |	Account	Debit $	Credit $ | |---|---|---|---| | August 31 | Drawings | 650 **(1)** | | | | Cash | | 650 **(1)** | | | Motor expenses | 234 **(1)** | | | | Motor vehicles | | 234 **(1)** | | | General expenses | 9 **(1)** | | | | Bank | | 9 **(1)** |	**(6)**

Type MS · Why keep a trial balance? Benefits and limits

Answer 12 of 12 · Question 15 part d.ii · 3 marks

2023 NOV · Paper 01 · extract 2 of 3 · find part d.ii in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>15(b)</td><td>Award marks as indicated.
<table>
<tr><th>Error</th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>1</td><td></td><td></td><td>(✓)(1)</td></tr>
<tr><td>2</td><td></td><td>(✓)(1)</td><td></td></tr>
<tr><td>3</td><td></td><td>(✓)(1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Why keep a trial balance? Benefits and limits

Answer 12 of 12 · Question 15 part d.ii · 3 marks

2023 NOV · Paper 01 · extract 3 of 3 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
15(c)	**Award mark as indicated.** Suspense **(1)**	**(1)**

Question Number	Answer	Mark
15(d)(i)	**Award 1 mark for identification and 1 mark for linked development.** A trial balance provides a summary of the account balances **(1)** which is useful in the preparation of the financial statements **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
15(d)(ii)	**Award up to 2 marks for a limitation and 1 mark for identifying an error.** Some errors will not be identified **(1)** for example an error of commission **(1)** as these errors do not affect the balancing of the trial balance **(1)** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 15 = 15 MARKS